

# Town Center – Multifamily Development

Santa Maria, CA



| Property Basics |                       |                 |             |
|-----------------|-----------------------|-----------------|-------------|
| Property Name   | Town Center           | Property Type   | Multifamily |
| Street          | 300 Town Center E     | Class           | A           |
| City, ZIP       | Santa Maria, CA 93454 | # of Buildings  | 1           |
| NRSF            | 51,888                | # of Stories    | 3           |
| Commercial NRSF | 5,616                 | # of Units      | 82          |
| Density         | 146.43                | Average Unit SF | 633         |
| Zoning          | DSP                   | Site Area       | 0.56        |

| Property Assumptions  |       | Project Schedule       | Date       |
|-----------------------|-------|------------------------|------------|
| Valuation Cap Rate:   | 5.50% | Start of Construction  | 1/1/2027   |
| Vacancy:              | 5.00% | Construction Timeline  | 24 Months  |
| Concessions/Bad Debt: | 0.00% | Grand Opening          | 1/31/2029  |
| Rent Growth:          | 3.00% | Units leased per month | 08 Units   |
| Expense Growth:       | 3.00% | Sale Date              | 12/31/2031 |

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| Loan Assumptions   |               |                            |
|--------------------|---------------|----------------------------|
| Loan Amount:       | \$ 15,552,811 | Spread: 3.00%              |
| Loan Term:         | 3 Years       | Treasury/SOFR: 5.00%       |
| Interest Rate      | 8.0%          | Max LTC: 65.00%            |
| Amortization Term: | 1000 Years    | Cost \$23,927,401          |
| Constant           | 8.0%          | Sponsor Equity \$4,592,371 |
| Perm Conversion:   | Month 34      | Origination Fee \$155,528  |

| JV Equity            |              |                                  |
|----------------------|--------------|----------------------------------|
| LP Contribution:     | \$ 5,500,000 | Sponsor Contribution \$4,592,371 |
| Term:                | 3 Years      | LP Equity Share: 54.5%           |
| First LP IRR Hurdle: | 15.0%        | Sponsor Equity Share 45.5%       |
| Return of Capital:   | Pari Passu   | Waterfall Method IRR             |
| Hurdle 2:            | 25.0%        | Promote: 30.0%                   |
| Hurdle 3:            | 40.0%        | Promote Above 40%: 90.0%         |

| Untrended Ratios            |       |                                      |
|-----------------------------|-------|--------------------------------------|
| LTV                         | 53%   | Monthly Payment: \$103,685           |
| LTC                         | 65%   | Annual Payment: \$1,244,225          |
| DCR on NOI                  | 1.30  | Balance Due @ Maturity: \$15,552,811 |
| Debt Yield on NOI           | 10.4% | Breakeven % 83.6%                    |
| Return on Cost              | 6.8%  | Loan Per Unit \$189,668              |
| Return on Cost no Land Lift | 7.8%  | Cost Per Unit \$291,798              |

| Exit Assumptions           |             | Return Metrics                 |       |
|----------------------------|-------------|--------------------------------|-------|
| Assumed Sale Month         | Month 60    | Unlevered IRR                  | 12.8% |
| Exit Cap Rate              | 5.50%       | Levered IRR                    | 15.5% |
| Cost of Sale               | 3.0%        | Unlevered EMx                  | 1.62x |
| NOI capped                 | FL-12       | Levered EMx                    | 1.98x |
| NOI (12 months after sale) | \$1,925,469 | Return on Cost                 | 8.0%  |
|                            |             | Stabilized Cash-on-Cash Return | 6.8%  |
|                            |             | CAGR                           | 7.9%  |

| Sale Summary         |              | Risk Metrics      |          |
|----------------------|--------------|-------------------|----------|
| Gross Sale Proceeds  | \$35,008,529 | DCR @ Sale        | 1.51     |
| Less: Cost of Sale   | \$1,050,256  | Debt Yield @ Sale | 12.4%    |
| Net Sale Proceeds    | \$33,958,273 | Breakeven Month   | Month 31 |
| Less: Debt Repayment | \$15,430,411 |                   |          |
| Borrower Cash Flow   | \$18,527,862 |                   |          |

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| Market Data              |                | Sep-26                   |                   |
|--------------------------|----------------|--------------------------|-------------------|
| Market                   | Santa Barbara  | Submarket                | Santa Maria       |
| Asset Type               | Multifamily    | Asset Type               | Multifamily       |
| Vacancy                  | 4.5% +90bp YoY | Vacancy                  | 6.9% up 260bp YoY |
| Rent (\$/Unit)           | \$2,422        | Rent (\$/Unit)           | \$2,178           |
| Rent Growth YOY          | 1.30%          | Rent Growth YOY          | 2.80%             |
| Market Cap Rate          | 5.0%           | Submarket Cap Rate       | 5.2%              |
| Average Sale Price/Unit  | \$322,000      | Average Sale Price/Unit  | \$266,000         |
| Inventory (# of Units)   | \$34,810       | Inventory (# of Units)   | \$10,403          |
| Under Construction (SF)  | 814            | Under Construction (SF)  | 104               |
| T-12 Net Absorption (SF) | 225            | T-12 Net Absorption (SF) | 91                |
| 12 Mo. Sales Volume (\$) | \$161,250,130  | 12 Mo. Sales Volume (\$) | \$83,276,000      |

| Demographics              |                   |               | Sep-26         |                |
|---------------------------|-------------------|---------------|----------------|----------------|
|                           | <i>ZIP: 93454</i> | <i>2 mile</i> | <i>5 mile</i>  | <i>10 mile</i> |
| 2020 Population           |                   | 88,150        | 123,304        | 177,275        |
| 2025 Population           |                   | <b>88,189</b> | <b>123,177</b> | <b>174,624</b> |
| 2030 Population           |                   | 87,992        | 122,858        | 173,622        |
| Annual Growth (2020-2025) |                   | 0.01%         | -0.02%         | -0.30%         |
| Annual Growth (2025-2030) |                   | -0.04%        | -0.05%         | -0.11%         |
| Median Age                |                   | 29.6          | 31.2           | 33.5           |
| 2025 Households           |                   | <b>22,501</b> | <b>33,520</b>  | <b>51,107</b>  |
| Owner Occ. Households     |                   | 9,928         | 17,619         | 30,289         |
| Renter Occ. Households    |                   | 12,531        | 15,824         | 20,475         |
| Avg. HH Size              |                   | 3.7           | 3.5            | 3.3            |
| HH Income (Average)       |                   | \$66,936      | \$81,183       | \$84,076       |
| HH Income (Median)        |                   | \$71,712      | \$84,133       | \$89,044       |

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| Multifamily Unit Mix |                    |            |         |          |                       |                     |                          |                       |
|----------------------|--------------------|------------|---------|----------|-----------------------|---------------------|--------------------------|-----------------------|
| % MIX                | TYPE               | # of UNITS | UNIT SF | TOTAL SF | 2026 MARKET RENT/UNIT | 2026 MARKET RENT/SF | TOTAL ANNUAL MARKET RENT | HH INCOME TO QUALIFY* |
| 6.1%                 | Studio             | 5          | 516     | 2,580    | \$1,985               | \$3.85              | \$119,100                | \$79,400              |
| 81.7%                | 1 Bed 1 Bath       | 67         | 594     | 39,823   | \$2,495               | \$4.20              | \$2,005,980              | \$99,800              |
| 12.2%                | 2 Bed 2 Bath       | 10         | 949     | 9,485    | \$3,295               | \$3.47              | \$395,400                | \$131,800             |
| 100%                 | TOTALS / AVERAGES: | 82         | 633     | 51,888   | \$2,561               | \$4.05              | \$2,520,480              | \$102,459             |

2025 Median HH Income 3 Mile Radius: \$84,133

\* Income to qualify assumes 30% of hh income spent on rent

| OTHER INCOME DETAIL |               |           |        |            |             |        |
|---------------------|---------------|-----------|--------|------------|-------------|--------|
| ITEM                | \$/UNIT /YEAR | \$/Year   | \$/Mo. | \$/Unit/Mo | Per SF/Unit | Per Mo |
| Other Income        | \$4           | \$ 24,600 | \$25   | \$0.30     |             | \$0.04 |
| TOTAL OTHER INCOME  | \$300         | \$ 24,600 | \$ 25  | \$25.00    |             | \$0.04 |

| Retail Rent Roll |       |             |       |             |              |              |             |            |                       |
|------------------|-------|-------------|-------|-------------|--------------|--------------|-------------|------------|-----------------------|
| PRO-RATA SHARE   | SUITE | TENANT NAME | NRSF  | ANNUAL RENT | MONTHLY RENT | ANN RENT PSF | MO RENT PSF | LEASE TYPE | RENT INCREASES        |
| 100.0%           | 100   | Tenant 1    | 5,616 | \$ 117,936  | \$ 9,828     | \$ 21.00     | \$ 1.75     | Gross      | 3% increases per year |
| 1 TOTAL UNITS    |       |             | NRSF  | ANNUAL RENT | MONTHLY RENT | ANN RENT PSF | % OF NRSF   |            |                       |
| TOTALS:          |       |             | 5,616 | \$ 117,936  | \$ 9,828     | \$ 21.00     | 100%        |            |                       |
| LEASED TOTAL     |       |             | 5,616 | \$ 117,936  | \$ 9,828     | \$ 21.00     | 100%        |            |                       |

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| Proforma - Untrended Rents    |  |  | Annual             |  | Per Unit                     |  | Per NRSF |             | % of EGI         |  |
|-------------------------------|--|--|--------------------|--|------------------------------|--|----------|-------------|------------------|--|
| INCOME                        |  |  |                    |  |                              |  |          |             |                  |  |
| Rental Income                 |  |  | \$2,520,480        |  | \$                           |  | 30,738   |             | \$ 48.58 99.58%  |  |
| Commercial Income             |  |  | \$117,936          |  | \$                           |  | 1,438    |             | \$ 2.27 4.66%    |  |
| Less: Apartment Vacancy       |  |  | 5.0% \$ 126,024    |  | \$                           |  | 1,537    |             | \$ 2.43 4.98%    |  |
| Less: Commercial Vacancy      |  |  | 5.0% \$ 5,897      |  | \$                           |  | 72       |             | \$ 0.11 0.23%    |  |
| ADJUSTED RENTAL INCOME        |  |  | \$ 2,506,495       |  | \$                           |  | 30,567   |             | \$ 48.31 99.03%  |  |
| Other Income                  |  |  | \$ 24,600          |  | \$                           |  | 300      |             | \$ 0.47 0.97%    |  |
| EFFECTIVE GROSS INCOME        |  |  | \$ 2,531,095       |  | \$                           |  | 30,867   |             | \$ 48.78 100.00% |  |
| OPERATING EXPENSES            |  |  |                    |  |                              |  |          |             |                  |  |
| Repairs and Maintenance       |  |  | \$ 75,383          |  | \$                           |  | 919      |             | \$ 1.45 2.98%    |  |
| Security                      |  |  | \$ 65,200          |  | \$                           |  | 795      |             | \$ 1.26 2.58%    |  |
| Landscaping                   |  |  | \$ 75,383          |  | \$                           |  | 919      |             | \$ 1.45 2.98%    |  |
| Administrative                |  |  | \$ 20,364          |  | \$                           |  | 248      |             | \$ 0.39 0.80%    |  |
| Advertising/Marketing         |  |  | \$ 34,654          |  | \$                           |  | 423      |             | \$ 0.67 1.37%    |  |
| Payroll                       |  |  | \$ 120,219         |  | \$                           |  | 1,466    |             | \$ 2.32 4.75%    |  |
| Property Insurance            |  |  | \$ 25,456          |  | \$                           |  | 310      |             | \$ 0.49 1.01%    |  |
| Property Management           |  |  | \$ 105,660         |  | \$                           |  | 1,289    |             | \$ 2.04 4.17%    |  |
| Real Estate Taxes             |  |  | \$ 258,792         |  | \$                           |  | 3,156    |             | \$ 4.99 10.22%   |  |
| Replacement Reserves          |  |  | \$ 40,929          |  | \$                           |  | 499      |             | \$ 0.79 1.62%    |  |
| TOTAL OPERATING EXPENSES      |  |  | \$ 907,604         |  | \$                           |  | 11,068   |             | \$ 17.49 35.9%   |  |
| NET OPERATING INCOME          |  |  | \$ 1,623,491       |  |                              |  | \$19,799 |             | \$ 31.29 64.1%   |  |
| Value at CAP Rate of:         |  |  | 5.5% \$ 29,518,014 |  | \$                           |  | 359,976  |             | \$ 568.88        |  |
| Rounded Valuation:            |  |  | \$ 29,520,000      |  | \$                           |  | 360,000  |             | \$ 568.92        |  |
| Development Cost              |  |  | \$23,927,401       |  | \$                           |  | 291,798  |             | \$ 461.14        |  |
| Construction Loan Assumptions |  |  |                    |  |                              |  |          |             |                  |  |
| Loan Amount                   |  |  | \$ 15,552,811      |  | \$                           |  | 189,668  |             | \$299.74         |  |
| Annual Payment                |  |  | \$ 1,244,225       |  | \$                           |  | 15,173   |             | \$23.98          |  |
| Monthly Payment               |  |  | \$ 103,685         |  | \$                           |  | 1,264    |             | \$2.00           |  |
| Interest Rate                 |  |  | 8.0%               |  |                              |  |          |             |                  |  |
| Amortization                  |  |  | Interest Only      |  |                              |  |          |             |                  |  |
| RATIOS                        |  |  |                    |  |                              |  |          |             |                  |  |
| LTV                           |  |  | 53%                |  | MONTHLY PAYMENT:             |  |          | \$103,685   |                  |  |
| LTC                           |  |  | 65%                |  | ANNUAL PAYMENT:              |  |          | \$1,244,225 |                  |  |
| DCR on NOI                    |  |  | 1.30               |  | BREAKEVEN PCTG:              |  |          | 82%         |                  |  |
| DEBT YIELD ON NOI             |  |  | 10.44%             |  | BREAKEVEN AMOUNT:            |  |          | \$2,151,829 |                  |  |
| 3 YEAR CAGR                   |  |  | 7.25%              |  | RETURN ON COST:              |  |          | 6.79%       |                  |  |
| GROSS RENT MULTIPLIER         |  |  | 11.19              |  | RETURN ON COST NO LAND LIFT: |  |          | 7.77%       |                  |  |

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| Trended Proforma (5 Years)    |      | Annual              |           | Per Unit      |           | Per NRSF     | % of EGI       |
|-------------------------------|------|---------------------|-----------|---------------|-----------|--------------|----------------|
| <b>INCOME</b>                 |      |                     |           |               |           |              |                |
| Rental Income                 |      | \$2,995,834         | \$        | 36,535        | \$        | 57.74        | 99.56%         |
| Commercial Income             |      | \$140,822           | \$        | 1,717         | \$        | 2.71         | 4.68%          |
| Less: Vacancy                 | 5.0% | \$ 149,792          | \$        | 1,827         | \$        | 2.89         | 4.98%          |
| Less: Commercial Vacancy      | 5.0% | \$ 7,041            | \$        | 86            | \$        | 0.14         | 0.23%          |
| <b>ADJUSTED RENTAL INCOME</b> |      | <b>\$ 2,979,823</b> | <b>\$</b> | <b>36,339</b> | <b>\$</b> | <b>57.43</b> | <b>99.02%</b>  |
| Other Income                  |      | \$ 29,374           | \$        | 358           | \$        | 0.57         | 0.98%          |
| <b>EFFECTIVE GROSS INCOME</b> |      | <b>\$ 3,009,196</b> | <b>\$</b> | <b>36,698</b> | <b>\$</b> | <b>57.99</b> | <b>100.00%</b> |

|                                 |  |                     |           |               |           |              |              |
|---------------------------------|--|---------------------|-----------|---------------|-----------|--------------|--------------|
| <b>OPERATING EXPENSES</b>       |  |                     |           |               |           |              |              |
| Repairs and Maintenance         |  | \$ 90,011           | \$        | 1,098         | \$        | 1.73         | 2.99%        |
| Security                        |  | \$ 77,853           | \$        | 949           | \$        | 1.50         | 2.59%        |
| Landscaping                     |  | \$ 90,011           | \$        | 1,098         | \$        | 1.73         | 2.99%        |
| Administrative                  |  | \$ 24,316           | \$        | 297           | \$        | 0.47         | 0.81%        |
| Advertising/Marketing           |  | \$ 41,378           | \$        | 505           | \$        | 0.80         | 1.38%        |
| Payroll                         |  | \$ 143,547          | \$        | 1,751         | \$        | 2.77         | 4.77%        |
| Property Insurance              |  | \$ 30,395           | \$        | 371           | \$        | 0.59         | 1.01%        |
| Property Management             |  | \$ 126,163          | \$        | 1,539         | \$        | 2.43         | 4.19%        |
| Real Estate Taxes               |  | \$ 309,011          | \$        | 3,768         | \$        | 5.96         | 10.27%       |
| Replacement Reserves            |  | \$ 48,872           | \$        | 596           | \$        | 0.94         | 1.62%        |
| <b>TOTAL OPERATING EXPENSES</b> |  | <b>\$ 1,083,727</b> | <b>\$</b> | <b>13,216</b> | <b>\$</b> | <b>20.89</b> | <b>36.0%</b> |

|                             |  |                     |  |                 |           |              |              |
|-----------------------------|--|---------------------|--|-----------------|-----------|--------------|--------------|
| <b>Net Operating Income</b> |  | <b>\$ 1,925,469</b> |  | <b>\$23,481</b> | <b>\$</b> | <b>37.11</b> | <b>64.0%</b> |
|-----------------------------|--|---------------------|--|-----------------|-----------|--------------|--------------|

|                              |      |                      |           |                |           |               |
|------------------------------|------|----------------------|-----------|----------------|-----------|---------------|
| <b>Value at CAP Rate of:</b> | 5.5% | \$ 35,008,529        | \$        | 426,933        | \$        | 674.70        |
| <b>Rounded Valuation:</b>    |      | <b>\$ 35,010,000</b> | <b>\$</b> | <b>426,951</b> | <b>\$</b> | <b>674.73</b> |
| <b>Project Cost</b>          |      | <b>\$23,927,401</b>  | <b>\$</b> | <b>291,798</b> | <b>\$</b> | <b>461.14</b> |

## Perm Debt Assumptions

|                          |    |                   |    |                |                 |
|--------------------------|----|-------------------|----|----------------|-----------------|
| <b>Loan Amount</b>       | \$ | <b>21,203,006</b> | \$ | <b>258,573</b> | <b>\$408.63</b> |
| <b>Annual Payment</b>    | \$ | <b>1,540,375</b>  | \$ | <b>18,785</b>  | <b>\$29.69</b>  |
| <b>Monthly Payment</b>   | \$ | <b>128,365</b>    | \$ | <b>1,565</b>   | <b>\$2.47</b>   |
| <b>Interest Rate</b>     |    | <b>6.0%</b>       |    |                |                 |
| <b>Amortization</b>      |    | <b>30 Years</b>   |    |                |                 |
| <b>Mortgage Constant</b> |    | <b>7.3%</b>       |    |                |                 |

| PERM DEBT RATIOS     |        |                              |             |
|----------------------|--------|------------------------------|-------------|
| LTV                  | 61%    | MONTHLY PAYMENT:             | \$128,365   |
| LTC                  | 89%    | ANNUAL PAYMENT:              | \$1,540,375 |
| DCR on NOI           | 1.25   | BREAKEVEN PCTG:              | 87%         |
| DEBT YIELD ON NOI    | 9.08%  | BREAKEVEN AMOUNT:            | \$2,624,102 |
| 3 YEAR CAGR          | 13.53% | RETURN ON COST:              | 8.05%       |
| GROSS RENT MUTIPLIER | 11.69  | RETURN ON COST NO LAND LIFT: | 9.22%       |

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| <b>Development Costs</b>   | <b>Total Amount</b> | <b>Per Unit</b> | <b>Per (NRSF)</b> | <b>% of Cost</b> |
|----------------------------|---------------------|-----------------|-------------------|------------------|
| <b>Land Costs</b>          |                     |                 |                   |                  |
| Purchase Price             | \$240,000           | \$2,927         | \$4.63            | 1.0%             |
| Imputed Equity             | \$3,040,000         | \$37,073        | \$58.59           | 12.7%            |
| <b>Subtotal Land Costs</b> | <b>\$3,280,000</b>  | <b>\$40,000</b> | <b>\$63.21</b>    | <b>13.7%</b>     |
| <b>Soft Costs</b>          |                     |                 |                   |                  |
| <b>Entitlements</b>        |                     |                 |                   |                  |
| Planning & Entitlements    | \$67,240            | \$820           | \$1.30            | 0.3%             |
| <b>Design Consultants</b>  |                     |                 |                   |                  |
| Architect - Design         | \$123,000           | \$1,500         | \$2.37            | 0.5%             |
| Architect - CDs            | \$156,115           | \$1,904         | \$3.01            | 0.7%             |
| Landscape Architect        | \$6,895             | \$84            | \$0.13            | 0.0%             |
| Civil Engineer             | \$12,300            | \$150           | \$0.24            | 0.1%             |
| Structural Engineer        | \$106,442           | \$1,298         | \$2.05            | 0.4%             |
| MEP Engineer               | \$85,803            | \$1,046         | \$1.65            | 0.4%             |
| <b>City Fees</b>           |                     |                 |                   |                  |
| CC YARD Fee (AB 1600)      | \$4,076             | \$50            | \$0.08            | 0.0%             |
| City Hall (AB 1600)        | \$3,057             | \$37            | \$0.06            | 0.0%             |
| Rec & Parks (AB 1600)      | \$111,082           | \$1,355         | \$2.14            | 0.5%             |
| Police (AB 1600)           | \$12,909            | \$157           | \$0.25            | 0.1%             |
| Fire (AB 1600)             | \$19,363            | \$236           | \$0.37            | 0.1%             |
| Library (AB 1600)          | \$9,512             | \$116           | \$0.18            | 0.0%             |
| Traffic (AB 1600)          | \$132,143           | \$1,612         | \$2.55            | 0.6%             |
| School Districts           | \$728,996           | \$8,890         | \$14.05           | 3.0%             |
| Water Connection           | \$53,785            | \$656           | \$1.04            | 0.2%             |
| Wastewater Connection      | \$3,837             | \$47            | \$0.07            | 0.0%             |
| State Water Connection     | \$258,581           | \$3,153         | \$4.98            | 1.1%             |
| Parks Dev Tax (Quimby)     | \$226,648           | \$2,764         | \$4.37            | 0.9%             |
| <b>Miscellaneous</b>       |                     |                 |                   |                  |
| OCIP Insurance             | \$147,557           | \$1,799         | \$2.84            | 0.6%             |
| Contingency                | \$113,467           | \$1,384         | \$2.19            | 0.5%             |
| <b>Subtotal Soft Costs</b> | <b>\$2,382,809</b>  | <b>\$29,059</b> | <b>\$45.92</b>    | <b>10.0%</b>     |



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| <b>Hard Costs</b>                       |                     |                  |                 |               |
|-----------------------------------------|---------------------|------------------|-----------------|---------------|
| 01 General Requirements                 | \$305,730           | \$3,728          | \$5.89          | 1.3%          |
| 02 Existing Conditions                  | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| 03 Concrete                             | \$1,375,785         | \$16,778         | \$26.51         | 5.7%          |
| 04 Masonry                              | \$305,730           | \$3,728          | \$5.89          | 1.3%          |
| 05 Metals                               | \$611,460           | \$7,457          | \$11.78         | 2.6%          |
| 06 Woods, Plastics & Composites         | \$2,140,110         | \$26,099         | \$41.24         | 8.9%          |
| 07 Thermal & Moisture Protection        | \$611,460           | \$7,457          | \$11.78         | 2.6%          |
| 08 Openings                             | \$917,190           | \$11,185         | \$17.68         | 3.8%          |
| 09 Finishes                             | \$1,834,380         | \$22,370         | \$35.35         | 7.7%          |
| 10 Specialties                          | \$0                 | \$0              | \$0.00          | 0.0%          |
| 11 Equipment                            | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| 12 Furnishings                          | \$76,433            | \$932            | \$1.47          | 0.3%          |
| 13 Special Construction                 | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| 14 Conveyance                           | \$76,433            | \$932            | \$1.47          | 0.3%          |
| 21 Fire Suppression                     | \$305,730           | \$3,728          | \$5.89          | 1.3%          |
| 22 Plumbing                             | \$1,222,920         | \$14,914         | \$23.57         | 5.1%          |
| 23 HVAC                                 | \$1,375,785         | \$16,778         | \$26.51         | 5.7%          |
| 26 Electrical                           | \$1,070,055         | \$13,049         | \$20.62         | 4.5%          |
| 27 Communications                       | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| 28 Electronic Safety & Security         | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| 31 Earthwork                            | \$458,595           | \$5,593          | \$8.84          | 1.9%          |
| 32 Exterior Improvements                | \$611,460           | \$7,457          | \$11.78         | 2.6%          |
| 33 Utilities                            | \$764,325           | \$9,321          | \$14.73         | 3.2%          |
| 97 Change Order                         | \$305,730           | \$3,728          | \$5.89          | 1.3%          |
| 98 Wage Related                         | \$152,865           | \$1,864          | \$2.95          | 0.6%          |
| Additional Podium Budget                | \$495,000           | \$6,037          | \$9.54          | 2.1%          |
| Contingency (5%)                        | \$789,075           | \$9,623          | \$15.21         | 3.3%          |
| <b>Subtotal Hard Costs</b>              | <b>\$16,570,575</b> | <b>\$202,080</b> | <b>\$319.35</b> | <b>69.3%</b>  |
| <b>OH/Profit/Fees</b>                   |                     |                  |                 |               |
| G.C. Fee (Profit / Overhead)            | \$789,075           | \$9,623          | \$15.21         | 3.3%          |
| Acquisition Fee                         | \$2,400             | \$29             | \$0.05          | 0.0%          |
| Developer Fee                           | \$902,542           | \$11,007         | \$17.39         | 3.8%          |
| <b>Subtotal OH/Profit/Fees</b>          | <b>\$1,694,017</b>  | <b>\$20,659</b>  | <b>\$32.65</b>  | <b>7.1%</b>   |
| <b>Financing Costs</b>                  |                     |                  |                 |               |
| Senior Interest Reserve                 | \$1,244,225         | \$15,173         | \$23.98         | 5.2%          |
| Lender Origination Fee                  | \$155,528           | \$1,897          | \$3.00          | 0.7%          |
| Debt Placement Fee                      | \$155,528           | \$1,897          | \$3.00          | 0.7%          |
| Equity Placement Fee                    | \$110,000           | \$1,341          | \$2.12          | 0.5%          |
| Legal Fees                              | \$20,000            | \$244            | \$0.39          | 0.1%          |
| Inspection / Draw Fees                  | \$15,000            | \$183            | \$0.29          | 0.1%          |
| Title Insurance                         | \$10,000            | \$122            | \$0.19          | 0.0%          |
| Appraisal                               | \$7,500             | \$91             | \$0.14          | 0.0%          |
| <b>Subtotal Financing Costs</b>         | <b>\$1,717,781</b>  | <b>\$20,949</b>  | <b>\$33.11</b>  | <b>7.2%</b>   |
|                                         |                     |                  |                 |               |
| <b>Project Costs Ex Financing Costs</b> | <b>\$23,927,401</b> | <b>\$291,798</b> | <b>\$461.14</b> | <b>100.0%</b> |



## Town Center – Multifamily Development

Santa Maria, CA

### Sources & Uses

| <b>Sources:</b>       | <b><u>Amount</u></b> | <b><u>Per Unit</u></b> | <b><u>Per SF</u></b> | <b><u>% of Total</u></b> |
|-----------------------|----------------------|------------------------|----------------------|--------------------------|
| Loan                  | \$15,552,811         | \$189,668              | \$ 299.74            | 60.6%                    |
| JV Equity             | \$5,500,000          | \$67,073               | \$ 106.00            | 21.4%                    |
| Borrower Equity       | \$4,592,371          | \$56,005               | \$ 88.51             | 17.9%                    |
| <b>Total Sources:</b> | <b>\$25,645,182</b>  | <b>\$312,746</b>       | <b>\$ 494.24</b>     | <b>100.0%</b>            |

| <b>Uses:</b>       |                     |                  |                  |               |
|--------------------|---------------------|------------------|------------------|---------------|
| Land Costs         | \$3,280,000         | \$40,000         | \$ 63.21         | 12.8%         |
| Soft Costs         | \$2,382,809         | \$29,059         | \$ 45.92         | 9.3%          |
| Hard Costs         | \$16,570,575        | \$202,080        | \$319.35         | 64.6%         |
| OH/Profit/Fees     | \$1,694,017         | \$20,659         | \$ 32.65         | 6.6%          |
| Interest Reserve   | \$1,244,225         | \$15,173         | \$ 23.98         | 4.9%          |
| Financing Costs    | \$473,556           | \$5,775          | \$ 9.13          | 1.8%          |
| <b>Total Uses:</b> | <b>\$25,645,182</b> | <b>\$312,746</b> | <b>\$ 494.24</b> | <b>100.0%</b> |

### Financing Cost Detail:

|                               |                  |       |
|-------------------------------|------------------|-------|
| Lender Origination Fee        | \$155,528        | 1.00% |
| Debt Placement Fee            | \$155,528        | 1.00% |
| Equity Placement Fee          | \$110,000        | 2.00% |
| Legal Fees                    | \$20,000         |       |
| Inspection / Draw Fees        | \$15,000         |       |
| Title Insurance               | \$10,000         |       |
| Appraisal                     | \$7,500          |       |
| <b>Total Financing Costs:</b> | <b>\$473,556</b> |       |

# Town Center – Multifamily Development

Santa Maria, CA

| Town Center - Cash Flow Projection |          |                            |                        |                     |                                               |                      |                      |                      |                      |                      |                      |    |           |    |           |
|------------------------------------|----------|----------------------------|------------------------|---------------------|-----------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----|-----------|----|-----------|
| Grand Opening<br>January-2029      |          | Sale Date<br>December-2031 | Sale Month<br>Month 60 | Sale Year<br>Year 5 | Date<br>Year<br>Month<br>Occ. %<br>Occ. Units | Year 0<br>12/31/2026 | Year 1<br>12/31/2027 | Year 2<br>12/31/2028 | Year 3<br>12/31/2029 | Year 4<br>12/31/2030 | Year 5<br>12/31/2031 |    |           |    |           |
| Rental Income                      |          |                            |                        |                     |                                               | 0.0%                 | 0.0%                 | 0.0%                 | 100.0%               | 100.0%               | 100.0%               |    |           |    |           |
|                                    |          |                            |                        |                     |                                               |                      |                      |                      | 82                   | 82                   |                      |    |           |    |           |
| Unit Type                          | # Units  | SF                         | Rent/SF/Mo             | Monthly Rent        | Rent Growth                                   |                      |                      |                      |                      |                      |                      |    |           |    |           |
| Studio                             | 5        | 516 SF                     | \$3.85                 | \$1,985             | 3.0%                                          | \$                   | -                    | \$                   | -                    | \$                   | 80,906               | \$ | 134,048   | \$ | 138,070   |
| 1 Bed 1 Bath                       | 67       | 594 SF                     | \$4.20                 | \$2,495             |                                               | \$                   | -                    | \$                   | -                    | \$                   | 1,346,819            | \$ | 2,257,748 | \$ | 2,325,481 |
| 2 Bed 2 Bath                       | 10       | 949 SF                     | \$3.47                 | \$3,295             |                                               | \$                   | -                    | \$                   | -                    | \$                   | 259,378              | \$ | 432,064   | \$ | 445,026   |
| Totals:                            | 82 Units | 51,888 SF                  | 00,000 SF              | \$210,040           |                                               | \$                   | -                    | \$                   | -                    | \$                   | 1,687,103            | \$ | 2,823,861 | \$ | 2,908,576 |
| Averages:                          |          | 633 SF                     | \$4.05 /SF             | \$2,561 /Unit       |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
| Other Income                       |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
|                                    |          | \$/Unit/Mo                 | Monthly Income         | Annual Income       |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
| Other Income                       |          | \$25                       | \$2,050                | \$24,600            |                                               | \$                   | -                    | \$                   | -                    | \$                   | 16,500               | \$ | 27,688    | \$ | 28,518    |
| Commercial Income                  |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
| Leased Income                      |          | \$1.75                     | \$9,828                | \$117,936           |                                               | \$                   | -                    | \$                   | -                    | \$                   | 128,872              | \$ | 132,738   | \$ | 136,720   |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
| Gross Potential Income             |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,832,475 | \$ | 2,984,286 |
| Less: Vacancy                      |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | (22,847)  | \$ | (141,193) |
| Less: Commercial Vacancy           |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | (6,444)   | \$ | (6,637)   |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | -         | \$ | -         |
| Effective Gross Income             |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,185 | \$ | 2,836,456 |
|                                    |          |                            |                        |                     |                                               | \$                   | -                    | \$                   | -                    | \$                   | -                    | \$ | 1,803,    |    |           |

# Town Center – Multifamily Development

Santa Maria, CA

## Sensitivity Analysis

| IRR Matrix    |               |             |
|---------------|---------------|-------------|
| Sale Date     | Unlevered IRR | Levered IRR |
| December-2029 | 16.18%        | 19.84%      |
| December-2030 | 13.97%        | 17.08%      |
| December-2031 | 12.83%        | 15.52%      |
| December-2032 | 12.14%        | 14.51%      |
| December-2033 | 11.68%        | 13.81%      |
| December-2034 | 11.36%        | 13.29%      |
| December-2035 | 11.11%        | 12.89%      |
| December-2036 | 0.00%         | 0.00%       |
| December-2037 | 0.00%         | -8.71%      |

| Cap Rate Sensitivity |               |             |               |             |                |
|----------------------|---------------|-------------|---------------|-------------|----------------|
| Cap Rate             | Unlevered IRR | Levered IRR | Unlevered EMx | Levered EMx | Property Value |
| 4.50%                | 17.79%        | 23.51%      | 1.94 x        | 2.72 x      | \$ 42,788,202  |
| 4.75%                | 16.43%        | 21.40%      | 1.85 x        | 2.51 x      | \$ 40,536,192  |
| 5.00%                | 15.15%        | 19.38%      | 1.77 x        | 2.31 x      | \$ 38,509,382  |
| 5.25%                | 13.96%        | 17.42%      | 1.69 x        | 2.14 x      | \$ 36,675,602  |
| 5.50%                | 12.83%        | 15.52%      | 1.62 x        | 1.98 x      | \$ 35,008,529  |
| 5.75%                | 11.77%        | 13.67%      | 1.56 x        | 1.83 x      | \$ 33,486,419  |
| 6.00%                | 10.77%        | 11.87%      | 1.50 x        | 1.70 x      | \$ 32,091,152  |
| 6.25%                | 9.81%         | 10.11%      | 1.45 x        | 1.57 x      | \$ 30,807,506  |
| 6.50%                | 8.91%         | 8.38%       | 1.40 x        | 1.46 x      | \$ 29,622,602  |

| Vacancy Sensitivity |               |             |               |             |                |
|---------------------|---------------|-------------|---------------|-------------|----------------|
| Vacancy             | Unlevered IRR | Levered IRR | Unlevered EMx | Levered EMx | Property Value |
| 0.00%               | 14.89%        | 18.97%      | 1.75 x        | 2.27 x      | \$ 37,732,014  |
| 3.00%               | 13.67%        | 16.94%      | 1.67 x        | 2.09 x      | \$ 36,097,923  |
| 8.00%               | 11.54%        | 13.26%      | 1.55 x        | 1.80 x      | \$ 33,374,438  |
| 15.00%              | 8.32%         | 7.23%       | 1.38 x        | 1.39 x      | \$ 29,561,559  |
| 25.00%              | 3.11%         | -4.39%      | 1.13 x        | 0.81 x      | \$ 24,114,589  |

| Expense Growth Sensitivity |               |             |               |             |                |
|----------------------------|---------------|-------------|---------------|-------------|----------------|
| Expense Growth             | Unlevered IRR | Levered IRR | Unlevered EMx | Levered EMx | Property Value |
| 0.00%                      | 15.20%        | 19.47%      | 1.77 x        | 2.32 x      | \$ 38,210,761  |
| 2.00%                      | 13.68%        | 16.96%      | 1.67 x        | 2.10 x      | \$ 36,128,841  |
| 4.00%                      | 11.92%        | 13.94%      | 1.57 x        | 1.85 x      | \$ 33,832,493  |
| 6.00%                      | 9.89%         | 10.26%      | 1.46 x        | 1.59 x      | \$ 31,304,401  |
| 8.00%                      | 7.52%         | 5.62%       | 1.34 x        | 1.30 x      | \$ 28,526,220  |

| Rent Growth Sensitivity |               |             |               |             |                |
|-------------------------|---------------|-------------|---------------|-------------|----------------|
| Rent Growth             | Unlevered IRR | Levered IRR | Unlevered EMx | Levered EMx | Property Value |
| 0.00%                   | 5.45%         | 1.18%       | 1.24 x        | 1.24 x      | \$ 26,315,782  |
| 2.00%                   | 10.43%        | 11.26%      | 1.49 x        | 1.49 x      | \$ 31,970,956  |
| 4.00%                   | 15.18%        | 19.44%      | 1.76 x        | 1.76 x      | \$ 38,193,368  |
| 6.00%                   | 19.75%        | 26.52%      | 2.07 x        | 2.07 x      | \$ 45,027,620  |
| 8.00%                   | 24.18%        | 32.89%      | 2.40 x        | 2.40 x      | \$ 52,520,889  |

# Town Center – Multifamily Development

Santa Maria, CA

## Equity Waterfall

### Promote Structure Method Return of Capital

IRR  
Pari Passu

| Equity Contributions | %     | Amount     |
|----------------------|-------|------------|
| Sponsor              | 45.5% | 4,592,371  |
| LP Investors         | 54.5% | 5,500,000  |
| Total Equity         |       | 10,092,372 |

### Promote Structure (IRR Hurdles)

|                             |                   | Promote Structure<br>Incentive Breakdown | Distribution as %      |
|-----------------------------|-------------------|------------------------------------------|------------------------|
|                             |                   |                                          | Sponsor % LP %         |
| Hurdle 1 (Preferred Return) | <u>Pref</u>       | Up to 15.0% IRR to LP                    | <u>Sponsor Promote</u> |
| Hurdle 2                    | > 15.0% IRR to LP | up to 25.0% IRR to LP                    | 30.0%                  |
| Hurdle 3                    | > 25.0% IRR to LP | up to 40.0% IRR to LP                    | 50.0%                  |
| Hurdle 4                    | > 40.0% IRR to LP |                                          | 90.0%                  |

Monthly Hurdle Rate Calculation Method

XIRR()

\*Sponsor will get promote % of LPs Original contribution %

## PARTNERSHIP LEVEL RETURNS ANNUAL - EQUITY WATERFALL

### Summary of Investor Level Returns

#### Limited Partner (LP) Returns

|                        |                  | Year 0      | Year 1      | Year 2 | Year 3  | Year 4  | Year 5     |
|------------------------|------------------|-------------|-------------|--------|---------|---------|------------|
| Preferred Return       | 4,571,811        |             |             |        |         |         |            |
| Return of Capital      | 5,500,000        |             |             |        |         |         |            |
| Excess Cash Flow       | <u>561,487</u>   |             |             |        |         |         |            |
| Total LP Distributions | 10,633,298       | -           | -           | -      | 114,494 | 316,356 | 10,202,448 |
| Total LP Contributions | <u>5,500,000</u> | 2,045,561   | 3,454,439   | -      | -       | -       | -          |
| Total LP Profit        | 5,133,298        |             |             |        |         |         |            |
| LP IRR                 | 16.43%           | (2,045,561) | (3,454,439) | -      | 114,494 | 316,356 | 10,202,448 |
| LP Equity Multiple     | 1.93x            |             |             |        |         |         |            |

#### Sponsor Returns

|                             |                  |             |             |   |        |         |           |
|-----------------------------|------------------|-------------|-------------|---|--------|---------|-----------|
| Preferred Return            | 3,817,356        |             |             |   |        |         |           |
| Return of Capital           | 4,592,371        |             |             |   |        |         |           |
| Excess Cash Flow            | 468,828          |             |             |   |        |         |           |
| Promote                     | <u>441,563</u>   |             |             |   |        |         |           |
| Total Sponsor Distributions | 9,320,118        | -           | -           | - | 95,600 | 264,150 | 8,960,369 |
| Total Sponsor Contributions | <u>4,592,371</u> | 1,707,995   | 2,884,376   | - | -      | -       | -         |
| Total Sponsor Profit        | 4,727,747        |             |             |   |        |         |           |
| Sponsor IRR                 | 17.73%           | (1,707,995) | (2,884,376) | - | 95,600 | 264,150 | 8,960,369 |
| Sponsor Equity Multiple     | 2.03x            |             |             |   |        |         |           |

# Town Center – Multifamily Development

Santa Maria, CA

## Rent Comparables

| MAP KEY                                                                            | PROJECT NAME            | SITE AREA (GROSS ACRES) | STUDIO          | 1 beds          | 2 beds          |
|------------------------------------------------------------------------------------|-------------------------|-------------------------|-----------------|-----------------|-----------------|
|                                                                                    |                         |                         | AVG SF PER UNIT | AVG SF PER UNIT | AVG SF PER UNIT |
|                                                                                    | ADDRESS                 | SITE DENSITY            | # OF UNITS      | # OF UNITS      | # OF UNITS      |
|                                                                                    | ADDRESS                 | YR. BUILT/RENOVATED     | MARKET RENT     | MARKET RENT     | MARKET RENT     |
|                                                                                    | DIST. (MI.) FROM SUB    | NO. UNITS               | RENT/SF         | RENT/SF         | RENT/SF         |
|                                                                                    | CLASS                   | # STORIES               | Concession      | Concessions     | Concessions     |
|                                                                                    | OCC.                    | AVG. UNIT SF            | EFF RENT/SF     | EFF RENT/SF     | EFF RENT/SF     |
|    | Town Center             | 0.56 acres              | 516 sf          | 594 sf          | 949 sf          |
|                                                                                    | 300 Town Center E       | 146.43 units/acre       | 5 units         | 67 units        | 10 units        |
|                                                                                    | Santa Maria, CA 93454   | 2028                    | \$1,985         | \$2,495         | \$3,295         |
|                                                                                    | SUBJECT                 | 82 units                | \$3.85          | \$4.20          | \$3.47          |
|                                                                                    |                         | 3 stories               |                 |                 |                 |
|                                                                                    |                         |                         | \$0.00          | \$0.00          | \$0.00          |
|    | The Residences at Depot |                         | 650 sf          | 732 sf          | 856 sf          |
|                                                                                    | 201 N Depot St          |                         | 10 units        | 18 units        | 40 units        |
|                                                                                    | Santa Maria, CA 93458   | 2021                    |                 |                 |                 |
|                                                                                    | <1 Mile                 | 80 units                | \$0.00          | \$0.00          | \$0.00          |
|                                                                                    | B                       | 3 stories               |                 |                 |                 |
|   | Gateway Apartments      |                         |                 |                 | 940 sf          |
|                                                                                    | 101 N Broadway          |                         |                 |                 | 17 units        |
|                                                                                    | Santa Maria, CA 93454   | 2024                    |                 |                 | \$2,458         |
|                                                                                    | <1 Mile                 | 17 units                | \$0.00          | \$0.00          | \$2.61          |
|                                                                                    | B                       | 3 stories               |                 |                 | 0.7%            |
|  | Las Brisas              |                         |                 | 766 sf          | 1,064 sf        |
|                                                                                    | 983 W Dan Blough Dr     |                         |                 | 142 units       | 173 units       |
|                                                                                    | Santa Maria, CA 93455   | 2026                    |                 | \$2,547         | \$3,162         |
|                                                                                    | 3 Miles                 | 340 units               | \$0.00          | \$3.33          | \$2.97          |
|                                                                                    | A                       | 3 stories               |                 | 14.3%           | 14.3%           |
|  | Montiavo                |                         |                 |                 | 1,318 sf        |
|                                                                                    | 2460 S Rubel Way        |                         |                 |                 | 120 units       |
|                                                                                    | Santa Maria, CA 93455   | 2004/2012               |                 |                 | \$3,314         |
|                                                                                    | 3 Miles                 | 208 units               | \$0.00          | \$0.00          | \$2.51          |
|                                                                                    | A                       | 2 stories               |                 |                 | 1.3%            |
|  | Parke West Apartments   |                         | 512 sf          | 614 sf          | 852 sf          |
|                                                                                    | 1060 Village Dr         |                         | 15 units        | 19 units        | 52 units        |
|                                                                                    | Orcutt, CA 93455        | 2018                    | \$1,696         | \$2,834         | \$2,481         |
|                                                                                    | 7 Miles                 | 86 units                | \$3.31          | \$4.62          | \$2.91          |
|                                                                                    | A                       | 4 stories               | 0.6%            | 0.6%            | 0.6%            |
|                                                                                    |                         |                         | \$3.29          | \$4.58          | \$2.89          |

# Town Center – Multifamily Development

Santa Maria, CA

|                                                                                    |                           |                |                               |               |               |
|------------------------------------------------------------------------------------|---------------------------|----------------|-------------------------------|---------------|---------------|
|    | Bradley Garden Apartments |                | N/A                           | 651 sf        | 864 sf        |
|                                                                                    | 1055 Village Dr           |                | 10 units                      | 36 units      | 62 units      |
|                                                                                    | Orcutt, CA 93455          | 2020           | \$2,475                       | \$2,480       | \$2,726       |
|                                                                                    | 7 Miles                   | 128 units      | \$0.00                        | \$3.81        | \$3.16        |
|                                                                                    | A                         | 3 stories      |                               | 0.7%          | 0.7%          |
|                                                                                    | 93.7%                     |                | \$0.00                        | \$3.78        | \$3.13        |
|    | Azure Apartment Homes     |                | 406 sf                        | 695 sf        | 916 sf        |
|                                                                                    | 703 E Meehan St           |                | 1 units                       | 110 units     | 131 units     |
|                                                                                    | Santa Maria, CA 93454     | 2020           | \$1,925                       | \$2,208       | \$2,602       |
|                                                                                    | 3 Miles                   | 318 units      | \$4.74                        | \$3.18        | \$2.84        |
|                                                                                    | B                         | 3 stories      | 0.9%                          | 0.9%          | 0.9%          |
|                                                                                    | 92.1%                     |                | \$4.71                        | \$3.15        | \$2.82        |
|    | Sierra Sands Apartments   |                |                               | 753 sf        | 999 sf        |
|                                                                                    | 327 Plaza Dr              |                |                               | 65 units      | 85 units      |
|                                                                                    | Santa Maria, CA 93454     | 2024           |                               | \$1,985       | \$2,757       |
|                                                                                    | 3 Miles                   | 184 units      | \$0.00                        | \$2.64        | \$2.76        |
|                                                                                    | B                         | 3 stories      |                               | 0.5%          | 0.5%          |
|                                                                                    | 96.6%                     |                | \$0.00                        | \$2.62        | \$2.74        |
|   | Elements Apartments       |                | 462 sf                        | 656 sf        | 948 sf        |
|                                                                                    | 3517 Mercury Dr           |                | 10 units                      | 28 units      | 10 units      |
|                                                                                    | Santa Maria, CA 93455     | 2023           | \$1,795                       | \$2,383       | \$2,750       |
|                                                                                    | 5 Miles                   | 167 units      | \$3.89                        | \$3.63        | \$2.90        |
|                                                                                    | B                         | 4 stories      | 0.4%                          | 0.4%          | 0.3%          |
|                                                                                    | 91.6%                     |                | \$3.86                        | \$3.60        | \$2.88        |
|  | Santa Maria Studios       |                | 426 sf                        |               |               |
|                                                                                    | 2660 Santa Maria Way      |                | 160 units                     |               |               |
|                                                                                    | Santa Maria, CA 93455     | 2024           | \$1,208                       |               |               |
|                                                                                    | 5 Miles                   | 160 units      | \$2.84                        | \$0.00        | \$0.00        |
|                                                                                    | B                         | 5 stories      | 0.3%                          |               |               |
|                                                                                    | 99.4%                     |                | \$2.82                        | \$0.00        | \$0.00        |
| <b>Average Occupancy -<br/>Total Units Surveyed:</b>                               |                           | 93.0%<br>1,314 | <b>AVERAGES BY FLOOR PLAN</b> |               |               |
|                                                                                    |                           |                | <b>STUDIO</b>                 | <b>1 beds</b> | <b>2 beds</b> |
| <b>UNIT SF</b>                                                                     |                           |                | 491 sf                        | 695 sf        | 973 sf        |
| <b># OF UNITS</b>                                                                  |                           |                | 206 units                     | 418 units     | 690 units     |
| <b>MARKET RENT</b>                                                                 |                           |                | \$1,820                       | \$2,490       | \$2,785       |
| <b>RENT/SF</b>                                                                     |                           |                | \$3.70                        | \$3.58        | \$2.86        |